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TRUMP, PRESIDENT OF THE UNITED STATES *v.* COOK, MEMBER OF THE BOARD OF GOVERNORS OF THE FEDERAL RESERVE SYSTEM, ET AL.

ON APPLICATION FOR STAY

No. 25A312. Argued January 21, 2026—Decided June 29, 2026

In August 2025, President Trump purported to fire Lisa Cook, a member of the Board of Governors of the Federal Reserve System. Cook was the first Governor to be fired in the central bank's 111-year history. She promptly filed suit. She alleged that the attempted removal was not "for cause," as required by statute, and that the President had in any event failed to comply with the statute's (and the Constitution's) requirement that she receive pretermination process. The District Court issued a preliminary injunction to prevent her removal. This Court must decide whether the District Court's order should remain in effect pending the conclusion of litigation over the attempted removal.

The United States has a long tradition of independent central banking. The Nation's first *de facto* central bank, the Bank of North America, predates even our Constitution. The structure of the Bank of North America was unusual; it was owned in part by the Government and in part by the public, run by directors accountable only to private stockholders, and yet tasked with public purposes—specifically, the maintenance of a sound national currency.

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Although the Bank of North America was short lived, two more national banks soon followed in its footsteps. Both had similar goals to the Bank of North America—and a similar degree of independence from the Federal Government. The first came in 1791, when the First Congress chartered a bank that came to be known as the First Bank of the United States. After the charter for the First Bank was allowed to expire in 1811, Chief Justice Marshall remarked that "a short experience of the embarrassments to which the refusal to revive [the First Bank] exposed the government"—severe financial instability following the War of 1812—"convinced those who were most prejudiced against [a central bank] of the measure of its necessity." *McCulloch* v. *Maryland*, 4 Wheat. 316, 402. That necessity led to the Second Bank of the United States, chartered in 1816. In 1832, however, President Jackson, unconvinced of the wisdom of an independent national bank, vetoed a bill passed by Congress to extend the Second Bank's charter.

Eighty years later, after an era of ruinous financial panics, a bipartisan congressional commission recommended the creation of another cen-

tral bank to assume "the serious duty of protecting public and private interests at times when they are imperiled." Report of the National Monetary Commission, S. Doc. No. 243, 62d Cong., 2d Sess., 36. What emerged is today's central bank—called the Federal Reserve System—first created in 1913, and then restructured in 1933 and 1935. The Federal Reserve consists of 12 "independent but affiliated banks," one for each region. C. Glass, An Adventure in Constructive Finance 173. These regional banks, called Federal Reserve Banks, are privately owned (and operated) by the commercial banks of the area. See 38 Stat. 254, 12 U. S. C. §341. Above those banks sits the Board of Governors, which supervises the system with an eye to the economy's "long run growth." §225a. The Board consists of seven members, each appointed by the President and confirmed by the Senate. §241. Like the directors of its three predecessors, the Federal Reserve's Governors do not serve at the President's pleasure—they instead serve staggered 14-year terms, and may be removed only "for cause." §242.

Cook's term on the Board of Governors was set to expire in 2038. On August 20, 2025, the Federal Housing Finance Agency's Director posted to social media a letter in which he accused Cook of mortgage fraud. President Trump posted to social media that "Cook must resign, now!!!" and he later told reporters that he would "fire her if she doesn't resign." Complaint in No. 1:25–cv–02903 (D DC), ECF Doc. 1, p. 14. Three days later, the President purported to fire Cook for cause. In a letter to Cook, he stated that he had "reason to believe" that she "may have made false statements on one or more mortgage agreements." ECF Doc. 1–4, p. 2. He told her that he lacked "confidence in [her] integrity" and that he had determined that "faithfully executing the law requires [her] immediate removal from office." *Id.*, at 3. After Cook filed suit, the District Court issued a preliminary injunction to prevent her removal. The Court of Appeals declined to stay the injunction, and the Government filed an application for stay in this Court.

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Held: The Government's application is denied. Pp. 541–559.

(a) The Government has not shown that it is likely to prevail on the legal arguments advanced in its stay application. See *Hollingsworth* v. *Perry*, 558 U. S. 183, 190 (*per curiam*); *Nken* v. *Holder*, 556 U. S. 418, 434. Acceptance of the Government's position would in effect transform the Federal Reserve's for-cause protection into at-will employment—an interpretive leap out of step with the statute Congress enacted and our Nation's tradition of central banking protected from political interference. Pp. 541–549.

(1) The Government first contends that the President's determination of "cause" is wholly unreviewable because the statute "commits the

determination of cause to" the President alone. Application 20. The Court sees no such commitment. Whether a Governor should be "removed for cause" is a decision only the President can make (short of impeachment). 12 U. S. C. § 242. But that does not mean that he may make that decision for any reason, or no reason. Even when a statute "delegates discretionary authority" to the Executive Branch, a court must "independently interpret the statute and effectuate the will of Congress subject to constitutional limits." *Loper Bright Enterprises* v. *Raimondo*, 603 U. S. 369, 395. As the Government eventually acknowledges, it falls to the courts to "discern the boundaries of the President's power" under the Federal Reserve Act. Supp. Brief for Applicant 13 (internal quotation marks omitted).

Unlike the Government, the Court sees no indication that the common law forecloses all judicial review of removals. See *State ex rel. Hart* v. *Common Council of City of Duluth*, 53 Minn. 238, 244, 55 N. W. 118, 120 ("The sufficiency and reasonableness of the cause of removal are questions for the courts. . . . This has been the settled law ever since Bagg's Case, [11 Co. Rep. 93b, 77 Eng. Rep. 1271 (K. B. 1615) (Coke, C. J.)], and we are not aware of any respectable authority to the contrary."). The cases the Government cites for its contrary view are distinguishable because they addressed statutes that specified not only *causes* for removal but also *procedures* for removal, which the reviewing courts interpreted to be exclusive. Pp. 542–544.

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(2) Even if the President's determination is judicially reviewable, the Government contends, "cause" sets a very low bar—one that the President easily cleared. Cook, by contrast, argues that "cause" sets a very high bar that the President failed to meet. The Court rejects both parties' positions. Congress enacted this statute "against the backdrop of the common law," *Comcast Corp.* v. *National Assn. of African American-Owned Media*, 589 U. S. 327, 335, such that the Court must look to the common law to decipher what "cause" (a term of art) requires. For present purposes, it is sufficient to observe that any definition of "cause" in this context must reflect the Federal Reserve's unique historical status and role. Like its predecessors, the Federal Reserve operates at a deliberate remove from the ordinary political process, including a budget free of congressional control, § 243, and policies set not only by Governors, but also by representatives of the private regional banks, § 263. Not only the *fact* of independence but also the *appearance* of independence is key to the Federal Reserve's design.

That counsels a substantial threshold for "cause." Whether "cause" for removal exists in any given situation will depend, at least in part, on the seriousness of the alleged misconduct, and the extent of any nexus that may exist to the Governor's professional duties. The key

issue is whether "[t]he cause assigned" truly "impl[ies] an unfitness for the place"—or whether it simply represents an effort to secure a "more congenial" replacement. *In re Nichols*, 6 Abb. N. Cas. 474, 482. Without such constraints in place, any perceived or alleged misstep (past or present) could provide a ready pretext for a Governor's removal—a fact that he would surely know, and that would surely weigh on him as he decided what to say and how to vote. Nothing could be more corrosive of the independence that Congress sought to preserve. Pp. 544–547.

(3) The Court rejects the Government's contention that federal courts cannot grant a preliminary injunction ordering reinstatement during the pendency of litigation. Historically, a court of equity could not finally determine whether a plaintiff was validly removed—that was a question only a court of law could settle by *quo warranto* or mandamus. In the meantime, however, equity could ensure that "the actual incumbents of an office may be protected, pending a contest as to their title, from interference with their possession, and with the exercise of their functions," at least to the extent that they had a likely meritorious claim. 2 J. High, Law of Injunctions § 1315, p. 866. The District Court sought to do just that here. Pp. 547–549.

(b) The Court decides this application on the narrow ground that the President failed to afford Cook the procedural protections to which she was entitled by statute. Without such protections, she could not properly dispute the charges the President laid against her. The Court need not address Cook's constitutional due process argument, for the statute alone makes it unlikely that the Government will prevail on appeal as to the validity of the procedures used to fire Cook. Pp. 550–559.

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(1) Under the Court's precedents, Cook was entitled to notice and some opportunity to respond before her termination. When Congress created the Federal Reserve, it gave Governors a set term in office and permitted removal only "for cause." That form of tenure—a term of years limited only by removal "for cause"—carried with it a settled interpretation at common law, one that the Court had expressly adopted just a decade before. "[T]he rule," the Court explained in 1901, is that "notice and hearing are essential" before an officer's removal "where the term of office is for a fixed period." *Reagan* v. *United States*, 182 U. S. 419, 425; see also *Shurtleff* v. *United States*, 189 U. S. 311, 314. *Reagan* and *Shurtleff* established the baseline against which Congress legislated, and the Court must construe its work accordingly. That is not to say that a Federal Reserve Governor is entitled to a full-blown judicial trial. All that is required is "the right to support his allegations by argument however brief, and, if need be, by proof, however informal," before a final decision is made. *Londoner* v. *City and County of Denver*, 210 U. S. 373, 386. Pp. 550–554.

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(2) The protection from removal enjoyed by Governors of the Federal Reserve is consistent with the Constitution. The Founders knew from experience the calamities that could arise from even the "suspicion" of political manipulation of monetary policy. Report on a National Bank (Dec. 13, 1790), in 7 Papers of Alexander Hamilton 305, 331. So when they established the First Bank of the United States, they guaranteed its independence from Presidential control, and their successors did the same for the Second Bank. That enabled both banks to serve as the "great regulating wheel" of the early American financial system. E. Lomazoff, Reconstructing the National Bank Controversy 53.

The Federal Reserve follows in this tradition, with a similar degree of independence from Presidential control. What matters is that the Federal Reserve remains consistent with the principles that underpin the First and Second Banks—namely, that monetary policy should not be subject to political interference. In the Court's view, the Federal Reserve maintains the balance struck by the founding generation under modern circumstances.

Although this extraordinary case arises on the Court's interim docket, the Court has had the benefit of not only *amici* and oral argument but months of internal consultation and deliberation. The Court declines to sow doubt as to the status of one of the Nation's (and the world's) most important financial institutions, and would not so quickly unsettle this "special arrangement sanctioned by history." *Consumer Financial Protection Bureau* v. *Community Financial Services Assn. of America, Ltd.*, 601 U. S. 416, 467, n. 16 (ALITO, J., dissenting). Pp. 554–557.

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(3) The Court rejects the Government's halfhearted contention that Cook in fact received due process. At minimum, Cook was entitled to some explanation of the evidence at issue, some avenue for a response, and a deadline by which a response would be due. Cf. *Mullane* v. *Central Hanover Bank & Trust Co.*, 339 U. S. 306, 314–315. Only after Cook has had the opportunity to respond to the charges made against her may a final decision be made. And only then can the courts assess the validity and sufficiency of such charges. Pp. 557–559.

Application for stay denied.

ROBERTS, C. J., delivered the opinion of the Court, in which SOTOMAYOR, KAGAN, KAVANAUGH, and JACKSON, JJ., joined. KAVANAUGH, *post*, p. 559 and JACKSON, JJ., *post*, p. 562, filed concurring opinions. THOMAS, J., filed a dissenting opinion, *post*, p. 565. ALITO, J., filed a dissenting opinion, in which GORSUCH, J., joined, *post*, p. 596. Barrett, J., filed a dissenting opinion, *post*, p. 601.

Counsel

Solicitor General Sauer argued the cause for applicant. With him on the briefs were *Assistant Attorney General Shumate*, *Deputy Solicitor General Harris*, *Deputy Assistant Attorney General Roth*, *Vivek Suri*, *Mark R. Freeman*, *Michael S. Raab*, *Daniel Aguilar*, and *Laura E. Myron.*

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*Briefs of *amici curiae* urging the denial of the application were filed for the State of Colorado et al. by *Philip J. Weiser*, Attorney General of Colorado, *Russell D. Johnson*, Deputy Solicitor General, and *Nora Q. E. Passamaneck*, Senior Assistant Attorney General, and by the Attorneys General for their respective jurisdictions as follows: *Kris Mayes* of Arizona, *Rob Bonta* of California, *William Tong* of Connecticut, *Kathleen Jennings* of Delaware, *Brian L. Schwalb* of the District of Columbia, *Anne E. Lopez* of Hawaii, *Kwame Raoul* of Illinois, *Aaron M. Frey* of Maine, *Anthony G. Brown* of Maryland, *Andrea Joy Campbell* of Massachusetts, *Dana Nessel* of Michigan, *Keith Ellison* of Minnesota, *Aaron D. Ford* of Nevada, *Matthew J. Platkin* of New Jersey, *Raúl Torrez* of New Mexico, *Letitia James* of New York, *Jeff Jackson* of North Carolina, *Dan Rayfield* of Oregon, *Peter F. Neronha* of Rhode Island, *Charity R. Clark* of Vermont, *Nicholas W. Brown* of Washington, and *Josh Kaul* of Wisconsin; for Economics Professors by *Seth P. Waxman*, *Thomas G. Saunders*, *Carter G. Phillips*, and *Jeffrey T. Green*; for Experts on Law, Finance, and Economics by *David J. Zimmer* and *Matthew S. Blumenthal*; for Former Members of the Board of Governors of the Federal Reserve System by *William W. Taylor III*, *David A. Reiser*, and *Aaron S. J. Zelinsky*; for Former Government Officials et al. by *Joshua Perry* and *E. Danya Perry*; for Former Treasury Secretaries et al. by *Sarah E. Harrington* and *Mark W. Mosier*; for Patrick J. Borchers et al. by *Joseph M. Sellers* and *Richard A. Koffman*; for Jane Manners by *Donald B. Verrilli, Jr.*, *Daniel J. Kane*, *Katherine L. Pringle*, *Thomas P. Wolf*; and for Jed Shugerman by *Ayesha N. Khan.*

Briefs of *amici curiae* urging the grant of the application were filed for the State of Florida et al. by *James Uthmeier*, Attorney General of Florida, *Jeffrey Paul DeSousa*, Acting Solicitor General, *Nathan A. Forrester*, Chief Deputy Solicitor General, *Darrick W. Monson*, Deputy Solicitor General, and *Robert S. Schenck* and *Caleb Stephens*, Assistant Solicitors General, and by the Attorneys General for their respective States

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CHIEF JUSTICE ROBERTS delivered the opinion of the Court.

Last August, for the first time in the Federal Reserve's 111-year history, the President attempted to fire one of its Governors. A few weeks later, a federal court issued an injunction to prevent him from doing so. We decide whether that order should remain in effect pending the conclusion of litigation over the attempted removal.

I

A

Our Nation's first *de facto* central bank predates even our Constitution. Through the early years of the Revolutionary War, the Continental Congress had been forced to print so much money to finance the war that its currency had become all but worthless. See G. Wood, The American Revolution 145–147 (2002). ("Not worth a Continental," as the saying goes.) "Duty . . . compells me," General Washington wrote

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